

STOIC X SIRES

THE DATA ENGINE

Concepts against data, probabilities against certainty,
quantified fundamentals, and the asymmetric compounding
model with its guardrails.

By Sires

Ether, the free side of Ethos

Contents

Concepts do not pay, data does	FRAMEWORK	03	>
Probabilities, not certainties	FRAMEWORK	04	>
Quantifying the fundamentals	FRAMEWORK	05	>
The bubble question, done properly	CASE STUDY	06	>
Asymmetric compounding	ADVANCED RISK	07	>
The guardrails	ADVANCED RISK	08	>

This guide pairs with the video. [Watch it](#) for the live walkthrough, keep this next to the charts.



Concepts do not pay, data does

Stoic's main message, and the reason this session exists: most traders think concepts are the edge. But concepts only describe candlestick behaviour. The edge appears when a concept becomes a repeatable, mechanical, step by step process, validated with data.

Concepts do not make you profitable. Data does.



Pick the concepts

Whatever framework you trade, the auction, break and retest, liquidity models. The concept is raw material, nothing more.



Turn them into a process

A step by step execution model. If two people following your rules would take different trades, it is not a process yet.



Data collect the process

Over many trades, recorded the same way every time.



Compare all winners against all losers

The recurring similarities are the actual edge. Refine the model around them and repeat.

JOURNALING IS NOT DATA COLLECTION

Journaling looks at individual mistakes. Data collection looks at system level behaviour. You need both, but only one of them finds edges.



Probabilities, not certainties

The market behaves more like psychology than mathematics.

WHAT YOU CANNOT PREDICT

The next single candle. Any single outcome. The market's next move in isolation is genuinely unknowable.

WHAT YOU CAN PREDICT

What tends to happen across many samples. Generalised behaviour, tendencies with enough repetitions behind them.

STOIC'S ANALOGY

You cannot predict what one person does under stress, but you can predict how most people react. Same with markets. Edges live in the aggregate, never in the single trade.



Quantifying the fundamentals

Stoic realised his losses came from reading fundamentals subjectively. The fix was quantifying them, removing the feelings from the inputs.

TREND STRENGTH

Scored, not eyeballed.

VS HISTORICAL AVERAGE

Is the data point above or below its own history? A number, not a headline.

C-SCORES

Custom scoring of fundamentals so different releases become comparable.

STANDARD DEVIATIONS

How unusual is this reading, measured against the distribution.

MACRO CYCLES

Where the economy sits in the cycle, tracked as data rather than narrative.

THE POINT

Once the inputs are numbers, the outlook is objective. You act on data, not on how the morning's headlines made you feel.



The bubble question, done properly

The framework applied live: when everyone claimed markets were in a tech bubble, Stoic broke the question into measurable parts instead of arguing.



Step 1, identify the macro cycle

Compare sentiment against the business cycle: overheating or contraction? Bubbles need overheating.



Step 2, check the leading indicators

A real bubble shows high leverage, aggressive corporate borrowing, an overheated housing market and excessive valuations. The current data does not match those conditions.



Step 3, compare with history

Against the dot com era: price to earnings ratios nowhere near those levels, tech capital expenditure still rising, a slowing economy rather than an overheating one, and high rates preventing bubble style borrowing.

THE CONCLUSION

On the fundamentals, the run up is not structurally a bubble. Agree or not, the method is the lesson: measurable parts, historical comparison, verdict from data.



Asymmetric compounding

The advanced risk model from the session: asymmetric compounding, dynamic risk that only activates on a two trade winning streak.

Risk the original 1% **plus the profit the streak just gave you.**

TRADE ONE

Risk 1% at 1 to 3. Win: account up 3%.

TRADE TWO

Risk 1% plus the 3% banked, 4% total. Win 3R: plus 12%, running total plus 15% in two trades.

WORST CASE

Lose the 4% trade from plus 3% and the net damage is minus 1%. Tiny downside, huge upside.

THE RESET

After the second win, reset to 1% base risk and repeat. The equity curve goes step like: small dips, big jumps, reset.

WHY IT WORKS

Win streaks are more common than people think, the data proves it. And prop firm evaluations often need only 8 to 10%, which this can pass in 2 to 4 trades.



The guardrails

The guardrails, without which the model is just gambling with extra steps.



Never raise the base risk above 1%

The asymmetry is the edge. Raising the base turns it into leverage.



Expect a volatile equity curve

The swings are by design. Overconfidence inside them destroys the whole edge.



Prove the system first

100 plus trades of data before this model touches real money.



Know your numbers

Win rate from a 100 trade sample, average RR, and max consecutive losses from a Monte Carlo run. If any of the three is unknown, the model is off limits.





Now run on data.

Process over concepts, numbers over feelings, asymmetry over hope.
Inside Ethos, the mentorship, the same engine runs live three sessions a week.



Winners vs losers, in aggregate

The recurring similarities are the edge. Everything else is noise.



Quantify before you conclude

If the input is a feeling, the output is a guess.



Asymmetry only after proof

100 trades of data buys the right to compound the streaks.

START THE FREE 7 DAY TRIAL →

[WATCH THE SESSION >](#)

[JOIN ETHER ON DISCORD >](#)